IT3120 - Modern Enterprise Management

Week 5 – Introduction to Finance Accounting

Tutorial

1. What is financial accounting?

2. Name two internal and two external users of accounting information.

3. List the three key financial statements.

4. State the accounting equation.

5. A company has Assets = LKR 200,000 and Liabilities = LKR 120,000. Calculate Equity.

6. Classify the following as Asset, Liability, or Equity:
    - Cash
    - Bank loan
    - Retained earnings

7. Define Revenue and Expenses.

8. A company has:
    - Revenue = 150,000
    - Cost of Sales = 90,000
    - Operating Expenses = 30,000

    Calculate:
    - Gross Profit
    - Operating Profit

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9. What is the difference between Gross Profit and Net Profit?

10. Name the three types of cash flow activities.

11. Classify the following:
    - Purchase of equipment
    - Cash received from customers
    - Loan repayment

12. Why is cash flow important even if a company is profitable?

13. Calculate Net Profit Margin:
    - Revenue = 200,000
    - Net Profit = 40,000

14. Calculate Current Ratio:
    - Current Assets = 90,000
    - Current Liabilities = 45,000

15. A company has high debt compared to equity. What ratio is this related to? What does it indicate?